Practice workbook · Preparing a statement of financial position after adjustments

A sole trader's statement of financial position, in full or a named section, after depreciation, disposals, provisions, accruals and prepayments.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-05

1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

2 On 31 March 2025 Taylor provided the following trial balance after the preparation of the trading account for the year.

Taylor
Trial balance at 31 March 2025

Account	Debit $	Credit $
Cash at bank		2200
Cash in hand	1120	
Drawings	50000	
Equity		250000
Fixtures and fittings – cost	50000	
Fixtures and fittings – provision for depreciation		10000
Gross profit		419250
Lighting and heating	10800	
Inventory	35200	
Irrecoverable debts	250	
Land and buildings – cost	250000	
Motor vehicles – cost	20000	
Motor vehicles – provision for depreciation		7200
Profit on disposal of motor vehicle		800
Provision for irrecoverable debts		750
Sundry expenses	39630	
Trade payables		9800
Trade receivables	12000	
Wages and salaries	231000	
	700000	**700000**

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1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

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Additional information at 31 March 2025

- The figure shown for wages and salaries covers the 11 months to 28 February 2025. Salaries for March 2025 are due and unpaid. There have been no salary increases or changes in staff over the past 12 months.
- Motor vehicles are to be depreciated by 20% using the reducing balance method.
- Fixtures and fittings are to be depreciated by 10% using the straight-line method.
- The provision for irrecoverable debts is to be maintained at 5% of trade receivables.

(a) Prepare an income statement extract showing the **profit and loss section** only.

(8)

Taylor
Income statement extract for the year ended 31 March 2025

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1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare a statement of financial position at 31 March 2025.

(12)

Taylor
Statement of financial position at 31 March 2025

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1. Question 2 · part b · 12 marks

2025 NOV · Paper 02

Worked-example retry · Attempt part b only.

Taylor is considering changing his depreciation policy to allow for all non-current assets to be depreciated at the rate of 20% using the straight-line method.

(c) Advise, referring to **two** relevant accounting concepts, whether he should proceed with this change.

(5)

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(Total for Question 2 = 25 marks)

1. Question 2 · part b · 12 marks · Working and answer

Working and answer

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

1 Yu Win provided the following information.

At 1 June 2017	$
Provision for irrecoverable debts	3 000
Fixtures and fittings Cost Accumulated depreciation	 20 000 5 000
Motor vehicles Cost Accumulated depreciation	 50 000 13 550
Inventory	37 150

At 31 May 2018	$
Carriage inwards	3 625
Discount received	1 250
General expenses	24 375
Purchases	185 375
Purchases returns	12 500
Sales	329 500
Sales returns	15 500
Wages and salaries	38 650

During the year ended 31 May 2018:

- fixtures and fittings purchased on 1 January 2013 for $7 500 were sold for $5 400
- a motor vehicle costing $20 000 was purchased.

The following adjustments have not yet been made:

- closing inventory $43 950
- Yu Win took goods for personal use costing $2 500
- wages and salaries owing $1 350
- general expenses paid in advance $1 125
- a decrease in the provision for irrecoverable debts of $750
- depreciation charge:
  - fixtures and fittings 5% per annum straight line
  - motor vehicles 10% per annum reducing balance
  - a full year's depreciation is charged in the year of purchase and none in the year of disposal.

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

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QUESTION 1 (a) BEGINS ON THE NEXT PAGE.

2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

(a) Prepare the Income Statement for the year ended 31 May 2018.

(20)

Yu Win
Income Statement for the year ended 31 May 2018

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

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Workings

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2. Question 1 · part b · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the Statement of Financial Position at 31 May 2018 showing the **non-current assets** section only.

(5)

Yu Win
Statement of Financial Position at 31 May 2018

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(Total for Question 1 = 25 marks)

2. Question 1 · part b · 5 marks · Working and answer

Working and answer

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3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

1 Thomas, a manufacturer, provided the following information for the year ended 31 March 2021 after the preparation of the manufacturing account.

	1 April 2020 $	31 March 2021 $
Office equipment		
– Cost	25 000	25 000
– Accumulated depreciation	9 000	12 200
Plant and machinery		
– Cost	200 000	200 000
– Accumulated depreciation	72 000	97 600
Inventories		
– Raw materials	20 000	25 000
– Work in progress	12 000	11 000
– Finished goods	27 500	30 000
Provision for irrecoverable debts	2 500	3 000
Revenue		425 000
Production cost		300 000
Administrative expenses paid		45 000
Carriage outwards		2 745
Office rent paid		24 000
Other payables – office rent		3 000
Other receivables – administrative expenses		5 000
Trade receivables		60 000
Cash in hand		800

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3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 March 2021.

(11)

Thomas
Income statement for the year ended 31 March 2021

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3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare **an extract** of the statement of financial position at 31 March 2021 showing the **Assets** section only.

(9)

Thomas
Statement of financial position at 31 March 2021

Assets

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3. Question 1 · part b · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part b only.

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Thomas provided the following ratios for the years ended 31 March 2020 and 31 March 2021.

Ratio	2020	2021
Current (working capital)	1.8:1	2.2:1
Liquid (acid test)	0.8:1	1.2:1

Thomas stated that his liquidity position has improved.

(c) Evaluate whether liquidity has improved.

(5)

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(Total for Question 1 = 25 marks)

3. Question 1 · part b · 9 marks · Working and answer

Working and answer

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

2 Ali provides consultancy services to local businesses.
He provided the following information.

	At 1 May 2021 $	At 30 April 2022 $
Motor vehicle – Cost	34 000	To be calculated
Motor vehicle – Provision for depreciation	12 000	
Provision for irrecoverable debts	140	
Equity	17 100	
Bank loan	2 500	1 800
Bank overdraft	5 140	2 060
Other payables – wages	210	–
Other payables – fuel	310	480
Trade receivables – income owing	2 800	3 270
Other receivables – office rent and rates	600	1 200
Other receivables – insurance	–	110

During the year ended 30 April 2022

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

Additional information

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(a) Prepare the income statement for the year ended 30 April 2022.

(12)

Ali
Income statement for the year ended 30 April 2022

	$	$
Income		
Wages		
Fuel		
Insurance		
Depreciation		
Office rent and rates		
Irrecoverable debts		
Provision for irrecoverable debts		
Bank interest		
Profit for the year		

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

Ali
Statement of financial position at 30 April 2022

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4. Question 2 · part b · 8 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(c) (i) Explain why the **prudence** concept should be applied when writing off an irrecoverable debt.

(3)

(ii) Explain why the **accruals** concept should be applied when providing for depreciation of a motor vehicle.

(2)

(Total for Question 2 = 25 marks)

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4. Question 2 · part b · 8 marks · Working and answer

Working and answer

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5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

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5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.



5. Question 2 · part a · 10 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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5. Question 2 · part a · 10 marks · Working and answer

Working and answer

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6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

(c) Prepare the statement of financial position at 31 March 2025.

Ruhi
Statement of Financial Position at 31 March 2025

(10)

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6. Question 2 · part c · 10 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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A Business provided the following ratios.

	Year ended 31 March		
Ratio	**2023**	**2024**	**2025**
Gross profit percentage	60%	60%	60%
Profit for the year as a percentage of revenue	40%	35%	30%
Return on capital employed	10%	12%	15%

(d) Assess the change in profitability over the three-year period.

(5)

P 7 8 7 9 2 A 0 1 1 1 2

6. Question 2 · part c · 10 marks · Working and answer

Working and answer

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